

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	
	:	
GATEWAY TERMINALS, LLC;	:	FMC Docket No.: 22-12
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
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**COMPLAINANT INTERNATIONAL LONGSHOREMEN’S
ASSOCIATION’S PROPOSED FINDINGS OF FACT**

Complainant, International Longshoremen’s Association, by and through its undersigned counsel, respectfully submits the following proposed findings of fact:

PARTIES

1. The International Longshoremen’s Association (“ILA”) is a labor organization representing longshore workers, clerks and checkers, maintenance and repair workers, and other workers employed in related crafts along the East and Gulf Coasts of the United States, including the Ports of Savannah, Georgia, and Charleston, South Carolina. The ILA maintains offices at 5000 West Side Avenue, North Bergen, New Jersey 07047.

2. The ILA and its affiliated local unions represent longshore workers, clerks, checkers, and maintenance workers in the Ports of Charleston and Savannah for the purposes of

collective bargaining with their employers, including Ports America,¹ Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”), as well as Gateway Terminals, LLC (“Gateway”) and Charleston Stevedoring Company, LLC (“CSC”).

3. ILA Local 1422 is a local union affiliate of the ILA, which represents longshore workers and other workers employed in related crafts in the Port of Charleston, SC. Brave Decl. ¶¶ 1-3.² ILA Local 1422 maintains offices at 1142 Morrison Dr., Charleston, SC 29403.

4. Mr. Charles Brave is the President of ILA Local 1422. *Id.*

5. ILA Local 1771 is a local union affiliate of the ILA, which represents clerks, checkers, timekeepers, and other workers employed in related crafts in the Port of Charleston, SC. McLaughlin Decl. ¶¶ 1-4. ILA Local 1771 maintains offices at 2113 Courtland Avenue, Charleston, SC 29403.

6. Mr. Lance McLaughlin is the President of ILA Local 1771. *Id.*

7. ILA Local 1414 is a local union affiliate of the ILA, which represents longshore workers and other workers employed in related crafts in the Port of Savannah, GA. Mosley Decl. ¶¶ 1-4. ILA Local 1414 maintains offices at 221 N. East Lathrop Avenue, Savannah, GA 31415.

¹ Ports America Florida, Inc. was named as a respondent in this case because the publicly disclosed proposed joint venture agreement (Agreement 2011293) included that entity as a contracting party. See CX_001101. Discovery has revealed, however, that another Ports America affiliate has been a marine terminal operator in the Ports for years and is currently the contracting party in the joint ventures as actually implemented. Regardless, this brief will show that all the contracting parties were marine terminal operators in the Ports at all relevant times before and after the joint venture. These facts will use the term “Ports America” to include the Ports America affiliate operating in Savannah and Charleston.

² The Declaration of Lance McLaughlin is cited as McLaughlin Decl. ¶ _ and is submitted as part of the Appendix as CX_001124-29; the Declaration of Steve Sims is cited as Sims Decl. ¶ _ and is submitted as part of the Appendix as CX_001136-43; the Declaration of Charles Brave is cited as Brave Decl. ¶ _ and is submitted as part of the Appendix as CX_001117-123; and the Declaration of Paul Mosley is cited as Mosley Decl. ¶ _ and is submitted as part of the Appendix as CX_001130-35.

8. Mr. Paul Mosley is the President of ILA Local 1414. *Id.*

9. ILA Local 1475 is a local union affiliate of the ILA, which represents clerks, checkers, timekeepers, and other workers employed in related crafts in the Port of Savannah, GA. Sims Decl. ¶¶ 1-4. ILA Local 1475 maintains offices at 429 Habersham St, Savannah, GA 31401.

10. Mr. Steve Sims is the President of ILA Local 1475. *Id.*

11. Respondent Gateway Terminals, LLC (“Gateway”) is a Georgia limited liability company with a principal place of business at 1 Greer Road, Suite 1 Rae’s Hall, Garden City, GA 31408. Gateway is a joint venture established by a cooperative working agreement entered into by Marine Terminals Corporation – East (“Ports America”), SSA Atlantic, LLC (“SSA”); and Ceres Marine Terminals, Inc. (“Ceres”). The effective date of the cooperative working agreement in Savannah was on or about March 1, 2022.

12. Respondent Charleston Stevedoring Company, LLC (“CSC”) is a Delaware limited liability company with a principal place of business at 2265 Clements Ferry Road, Suite 310B, Charleston, SC 29492. CSC is a joint venture established by a cooperative working agreement entered into by Respondents Ports America, SSA, and Ceres. The effective date of the cooperative working agreement in Charleston was on or about January 1, 2020.

13. Marine terminal operations in the Port of Charleston and the Port of Savannah (the “Ports”) are jointly conducted by Respondents and the public port authorities, the South Carolina State Ports Authority (“SCSPA”) in Charleston and the Georgia Ports Authority (“GPA,” together with SCSPA, the “Port Authorities”) in Savannah.

**GATEWAY SOLELY CONTROLS GATE OPERATION
AND STEVEDORING SERVICES IN SAVANNAH
AND CSC SOLEY CONTROLS THESE SERVICES IN CHARLESTON**

14. The Port Authorities entered into various agreements with Ceres, SSA, and Ports America that granted them control over the terminal gates and office spaces where stowage and discharge of cargo are planned and handed over control of the shipside terminal property and heavy lift-equipment to load and unload berthed vessels. *See, e.g.*, CX_000361; CX_000371; CX_000628; CX_000693; CX_000751; CX_001059.³

15. GPA and Gateway entered into similar agreements giving the same sort of control to Gateway at Garden City and Ocean terminal, and maintained the same agreements separately with the Respondents individually at Ocean Terminal. *See, e.g.*, CX_000390; CX_000399; CX_000418; CX_000440; CX_000586; CX_000623; CX_000930; CX_000961.

16. Similarly, SCSPA and CSC entered into similar agreements giving the same control to CSC with respect to containerized cargo at all Charleston terminals, but maintained the same agreements separately with the other Respondents individually with respect to non-containerized cargo. *See, e.g.*, CX_000180; CX_000332; CX_001059; CX_001062.

17. After the completion of the joint ventures, Gateway in Savannah and CSC in Charleston took over the negotiations with shippers and carriers with respect to containerized cargo and became the exclusive providers of stevedoring in the Ports. CX_000204; CX000212; CX_000221; CX_000245-76; CX_000390; CX_000441; CX_000556-85; CX_000587.

18. Shippers and carriers are billed directly by Gateway and CSC, and Gateway and CSC are the exclusive provider of marine terminal gate and vessel loading and unloading operations at the terminals. CX_000245-76; CX000556-85; CX_000596; CX_001062. Carriers

³ Respondents did not provide any documents pertaining to Respondent Ports America.

have to agree to their fees because they are the only option in their respective port. See CX_000245-76; CX_000556-85.

STOWAGE

19. To facilitate these services, CSC develops a pre-stowage arrangement for the carrier's vessel after receiving a manifest and other documents from the carrier or shipper. McLaughlin Decl. ¶¶ 9-15.

20. CSC and members of ILA Local 1771 communicate on a daily basis with the carriers to develop the pre-stowage arrangement. This is the case for each carrier that plans to bring their cargo to the Port of Charleston. *Id.*

21. The stowage arrangement of shipping containers and other break bulk materials are based on multiple factors, including the cargo's weight, the cargo's final destination, whether or not the cargo must be refrigerated, whether the cargo is containerized or break bulk, and so forth. *Id.* at ¶¶ 11, 14.

22. The arrangement between Gateway and the carriers that call on the Port of Savannah are almost identical. Sims Decl. ¶¶ 17-18.

GATES

23. After the completion of the joint ventures, Gateway in Savannah and CSC in Charleston also took over the negotiations with shippers and carriers with respect to gate operations and became the exclusive providers of gate operations in the two Ports. CX_000204; CX_000221; CX_000586, CX_000606; CX_000623.

24. Prior to the effective date of the cooperative working agreement and/or the completion of the joint venture, SSA, Ports America, and Ceres controlled access to the container terminal facility in the Port of Savannah by charging carriers a fee for gates services, as

well as other services, through their joint operation of Gateway. *See* CX_001027, CX_001031 (explaining prior carrier billing by Respondents). Access to the terminal was conditioned upon payment of this fee to SSA, Ports America, and Ceres through their control over Gateway. *See* CX_000390 (referring to prior operating agreements between the Respondents).

25. From December 21, 2021 onward, upon the completion of the joint venture, Gateway was expanded from the joint venture controlling gate operations within the Port to the joint venture controlling both the gate operations **and** stevedoring operations, expanding Gateway's control over access to the container terminal facility in the Port of Savannah by charging carriers fees for this services. CX000556-87; CX_000606; CX_000623. Access to the terminal is conditioned upon payment of this fee to Gateway as Gateway is now the only gate company and stevedoring company (in regards to containerized cargo) within the Port. *Id.*

26. In a 2019 Joint Response to a Request for Additional Information from the Commission, Respondents SSA, Ceres and Ports America asserted that they qualified as marine terminal operators in the Ports of Charleston and Savannah based on their assessment and collection of gate fees. CX_001024-25.

27. Respondents explained that the gate company at the Port of Charleston, Charleston Gate was "owned 1/3 each by Container Maintenance Corporation ("CMC"), SSA and Ceres," while the gate company in Savannah, Gateway, was "owned 1/3 each by SSA, Marine Terminal Corporation East (a Ports America company) and Ceres." CX_001031.

28. Before the joint ventures were implemented, the Respondents controlled the access of cargo into and out of the terminals through the gate companies in each of the two Ports. CX_001032-33.

29. Presently, through a license agreement between South Carolina State Ports Authority and Respondent CSC, the Port Authority conferred on CSC an exclusive right to participate, along with the Container Maintenance Company (“CMC”) in the Charleston Gate Company. CX_000212; CX_000221.

30. The Charleston Gate Company performs gate services at the Port of Charleston, under the mutually agreed terms of CSC and CMC. CX_000221. Under the license agreement, the Gate Company bills CSC for its services and CSC negotiates tariff rates with container shipping lines, including negotiation of fees for gate services. *Id.* The licensing agreement is valid through December 31, 2029, with the option for CSC to extend the agreement for five years. CX_000213.

31. CSC is responsible for overseeing the gate company at the Port of Charleston and for negotiating tariff rates, which include fees for gate services. CX_000221. Under agreements currently in force between CSC and various common carriers, CSC consistently charges carriers for “Charleston Gate Services.” CX-000245-76.

32. Through a license agreement between Georgia Ports Authority (“GPA”) and Gateway Terminals, L.L.C., “GPA designates Gateway as the exclusive provider of container vessel stevedoring and gate services” at Garden City Terminal in Garden City, Georgia and Ocean Terminal in Savannah, Georgia. CX_000518. The agreement is effective from January 1, 2022 through December 31, 2031, with the option to mutually agree to extend the agreement for an additional five years. CX_000518-19.

33. Exhibit A of the license agreement lists gate and stevedoring rates assessed by Gateway, specifying that “Gateway shall invoice ocean carriers for gate services based rates negotiated and agreed upon between Gateway and the applicable ocean carrier.” CX_000606-07.

34. Exhibit D of the license agreement describes the gate services under Gateway's control, granting Gateway the right to utilize equipment owned by GPA in the provision of its gate services and specifying that Gateway will provide all personnel to operate the gates at its "sole cost and expense." CX_000623-24.

35. The 2019 Joint Response to a Request for Additional Information from the Commission confirms that, even prior to the currently effective license agreement between GPA and Gateway, stevedores at the Port of Savannah were "invoiced for gate operations from the gate company," rather than the Port Authority. CX_001031.

36. Accordingly, Gateway in Savannah and CSC in Charleston operate and control the gates at the container terminal facilities in each port, where they have ability to control or exert influence over who enters and exits the facility and deny access to persons who do not have the proper paperwork or licensing or who have not paid their fees to CSC or Gateway.

**RESPONDENTS CSC AND GATEWAY ARE
THE SOLE STEVEDORES FOR CONTAINERIZED CARGO IN EACH PORT**

37. Prior to CSC's formation in Charleston, SC, Respondents Ports America Florida, Inc. ("Ports America"), Ceres Marine Terminals, Inc. ("Ceres"), and SSA Atlantic, LLC ("SSA") performed stevedoring services for common carriers that called to the Port. Brave Decl. ¶ 7; McLaughlin Decl. ¶ 5.

38. Each of the three corporations worked separately in the Port of Charleston, and continue to do so in many instances, though they generally do not handle shipping containers, as after CSC's formation, CSC is the exclusive stevedore for containerized cargo that is brought to the Port. Brave Decl. ¶¶ 8-13.

39. Likewise, prior to Gateway's formation in Savannah, GA, Respondents Ports America, Ceres and SSA performed stevedoring services for common carriers that called to the Port. Mosley Decl. ¶ 5; Sims Decl. ¶ 5.

40. The Operating Agreement specifically defines Gateways' services as "marine terminal operating services, including gate and stevedoring services, in respect of marine containers at the Ports." CX_000390.

41. The Services Agreement between Gateway and Respondent Ceres also states that Gateway is the sole provider of stevedoring services in the Port. CX_000441.

42. The Services Agreement between Gateway and Respondent SSA also states that Gateway is the sole provider of stevedoring services in the Port. CX_000479.

43. The Licensing Agreement between Gateway and GPA states that Gateway shall be the sole provider of stevedoring services within the Port. CX_000517.

44. The Services Agreement between Gateway and GPA reiterates that Gateway is the sole provider of stevedoring services in the Port. CX_000537-42.

45. Exhibit C of the Services Agreement between Gateway and GPA demonstrates that Gateway is solely in control of the marine terminal when loading or unloading the cargo of a carrier vessel berthed in the Port and that Gateway is responsible for maintenance of the marine terminal in addition to the performance of its stevedoring functions. CX_000614-22.

46. Specifically, Exhibit C, Section 3(b) states:

Gateway shall remove all containers and breakbulk cargo from the dock facilities at the Terminal prior to the earlier of the arrival of a new vessel at berth, or the end of each day, If Gateway is unable to remove breakbulk cargo from the dock as a result of any cause, condition or event which is beyond the reasonable control of Gateway, then Gateway shall promptly notify GPA of the reason therefor, and following receipt of such notice, GPA shall work with Gateway to remove the break-bulk cargo from the dock as soon as practicable.

CX_000615.

47. Accordingly, when a carrier intends to bring its containerized cargo to Savannah, GA, that carrier must agree to utilize Gateway for all necessary stevedoring work.

CSC AND GATEWAY ALSO OFFER WAREHOUSING

48. By agreement with the South Carolina Ports Authority, CSC has been given control of designated portions of Wando Terminal for warehousing cargo and for stuffing and stripping containers. CX_000199-200.

49. SCSPA leases a 1.16-acre area of the marine terminal to CSC at the Wando Welsh terminal and an undefined area of the marine terminal to CSC at the North Charleston terminal. *See id.*

50. At the Wando Welsh Terminal, this designated area is located next to the Container Freight Station. *Id.*; McLaughlin Decl. ¶ 22.

51. Within these designated areas, CSC employs members of the ILA to stuff and strip the shipping containers and store the contents of the containers within the warehouse. *Id.*; McLaughlin Decl. ¶ __.

52. This stuffing and stripping is likewise performed by members of the ILA employed by CSC in a number of open terminal yard areas, which can be accessed from the shipping terminal. McLaughlin Decl. ¶¶ 22-25.

53. CSC controls this on-terminal stuffing and stripping area while cargo is loaded and unloaded by members of the ILA employed by CSC. *Id.*

54. CSC charges a fee to all carriers when it strips their cargo within this leased area. CX-000245-76; McLaughlin Decl. ¶ 26.

55. Gateway is likewise involved in warehousing work on the terminal at Garden City. Sims Decl. ¶ 26.

56. Gateway, which has assumed the lease of SSA after the joint merger, also leases warehousing space to offer warehousing services to the carriers that call within the Port. CX_000637; CX_000718; CX_000784; CX_000930.

57. Gateway currently performs certain warehousing work at sheds (warehouses) in the terminals. *Id.* at ¶ 27.

58. Gateway employs a shed gang (a header and a complement of workers) to perform stuffing and stripping work in sheds throughout the facility. *Id.* at ¶ 28.

59. The Gateway employees stuff (pack) and strip (unpack) containers that are stored in the shed. The containers are stored in the warehouse before and after they are stuffed and stripped. The cargo is also stored in the warehouse before and after it packed and unpacked from the containers. *Id.* at ¶ 29.

MARINE TERMINAL SAFETY AND SECURITY SERVICES OFFERED BY RESPONDENTS

60. The license agreements and lease agreements between Gateway and GPA divest GPA of liability and vest liability with Respondent Gateway for ensuring the safety and security of the terminal facilities under the contractual control of Gateway.

61. The Gateway Operating Agreement states that Gateway must ensure the safety of the employees performing stevedoring functions in the marine terminal. CX_000467.

62. Exhibit B to the License Agreement between Gateway and GPA, titled “Safety Rules and Procedures” provides:

Gateway shall be solely responsible for taking reasonable precautions and steps to ensure and maintain a safe work environment at the Terminal for its members, employees, contractors, subcontractors and invitees. In

addition to abiding by GPA's safety rules, Gateway shall assume responsibility for developing, implementing, and monitoring its own safety precautions and programs in connection with the performance of the Services by its employees, agents and contractors including taking reasonable precautions for the safety of, and providing reasonable protection to prevent damage, injury or loss to, (i) persons employed by Gateway or any other persons in the vicinity of the location where Services are being performed including, without limitation, truck drivers, third-party vendors and contractors, and (ii) supplies, materials and equipment owned by, or under the care, custody or control of Gateway.

CX_000609.

63. Exhibit B, Section 3 of the License Agreement provides:

Gateway shall ensure that all of its members, employees, contractors, subcontractors and invitees understand and abide by the safety rules set forth in GPA's MTO Schedule, as may be revised from time to time, including, without limitation, pedestrian traffic, smoking, sexual harassment, hot work requests and permits, and handling of explosive, flammable or hazardous cargo. In addition, Gateway shall comply with all written safety policies and brochures issued by GPA from time to time and/or posted on GPA's website, www.gaports.com. In the event Gateway has any questions regarding GPA's safety rules, or to obtain copies of all written safety policies and/or brochures, Gateway may contact GPA'S Safety Department using the contact information available on the website.

CX_000609.

64. Similarly, the license agreements and lease agreements between SCSPA and CSC divest SCSPA of liability and vest liability with CSC for the safety and security of the terminal facilities under the contractual control of the Respondents.

65. For example, the Master Port Facility License Agreement between CSC and SCSPA provides:

The Ports Authority shall not be liable for the safety or security of any persons or property on the Facility or Terminal. Licensee, in its discretion, may provide appropriate surveillance or security and alarm systems to assure the security and safety of the Facility and protection of persons or property at the Facility. The Ports Authority shall not be liable for any loss or damage arising from criminal activities at the Facility, Port, or Terminal or the inadequacy or alleged inadequacy of any security service or the

failure to furnish or delay in furnishing any such service. Any crimes or other offenses, including traffic offenses and crimes and offenses involving damage to or theft of any portion of the Facility or other property of the Ports Authority, shall first be reported to the Ports Authority Port Police, then to the Terminal Manager or his/her designee.

CX_000188.

66. The SCSPA had been placing the responsibility for maintaining marine terminal safety and security with the other Respondents even before the implementation of the joint ventures.

67. For example, the Port Facility License Agreement between SCSPA and SSA required SSA to provide video surveillance and security in the areas of the marine terminal under SSA's control:

Licensee, in its discretion, may provide appropriate surveillance or security and alarm systems to assure the security and safety of the Facility and protection of persons or property at the Facility. Any crimes or other offenses, including traffic offenses and crimes and offenses involving damage to or theft of any portion of the Facility or other property of the Ports Authority, shall first be reported to the Ports Authority Port Police, then to the Terminal Manager or his/her designee. The Ports Authority shall not be liable for any loss or damage arising from criminal activities at the Facility, Port, or Terminal or the inadequacy or alleged inadequacy of any security service or the failure to furnish or delay in furnishing any such service.

CX_000902.

68. The First Amendment to Lease Agreement between SSA and SCSPA stated:

Lessee acknowledges that Lessor provides no security services, security system or lighting, cameras, guards, fencing, window and door protection or other security measures {individually or collectively "Security Systems") other than such Security Systems which may exist on the Premises on the applicable Commencement Date, and Lessor makes no representation or warranty as to the adequacy of any such Security Systems to protect the Premises, Lessee shall be solely responsible for all access and security issues relating to the Premises. Further, Lessee agrees that all personal property in, on, or about the Premises shall be and remain at Lessee's sole risk, and Lessor, shall not be liable for any damage to or

loss of such personal property arising from fire, from the leaking of the roof, or from the bursting, leaking or overflowing of water, sewer or steam pipes, or from malfunctions of the heating, air conditioning, plumbing or electrical systems, nor shall Lessor, be liable for any damage to persons or property arising from any trespass, vandalism, breaking and entering, damage by third parties or from any cause whatsoever.

CX_000988.

69. Additionally, the Raes Hall Lease between Gateway and GPA also requires Gateway to maintain and repair and ensure the security of the space that it leases from GPA.

CX_000704.

Dated: May 15, 2023

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